The Squeeze Begins

As the Honecker era entered its sixth year, there were worrisome perturbations in the country. A world recession was compounded by an international oil crisis, sparking a rise in the price of raw materials and energy imports from the USSR. Compounding matters, farmers recorded a miserable grain harvest. A raft of cost-cutting measures ended Interflug's domestic routes from East Berlin to Erfurt and the Baltic Sea coast, while visitors to the GDR along with embassy officials and journalists were presented with gasoline ration cards.

Honecker gave a startlingly candid presentation on the international economic situation, sketching in stark terms the problem of rising raw material prices, saying the GDR's long-term economic strategy had been affected by these developments. He said prices of manufactured goods had not kept pace with the rise in raw material prices, which had cost the GDR an extra 14 billion 'Valuta Marks' since 1973.

Harder to duck was the problem of coffee prices on the world market, which shot up dramatically, leaving the SED facing a barrage of criticism. Up until the summer of 1977, the GDR had spent around DDM150million on the import of green coffee, but as the crisis worsened, the cost nudged up to almost DDM700million for the same amount. As economy became the watchword, the Politburo replaced some types of coffee with a blend called 'Kaffee-Mix', a stodgy concoction made from inferior raw coffee, roasted peas, rye, barley and sugar beet pulp (51 per cent bean coffee and 49 per cent surrogates). In a letter to Honecker, Politburo member Albert Norden feared 'enormous dissatisfaction' at the coffee situation:

It is simply unthinkable to me that we want to stop serving real coffee in restaurants altogether and that in future only 20 per cent of the current quantity is to be sold in shops. And a coffee mixture at that, something we